

FEDERAL MARITIME COMMISSION

RAHAL INTERNATIONAL INC., *Complainant*

v.

HAPAG-LLOYD AG, HAPAG-LLOYD (AMERICA), LLC, AND
HAPAG-LLOYD USA, LLC, *Respondents*

AND

HAPAG-LLOYD AG AND HAPAG-LLOYD (AMERICA), LLC,
Third-Party Complainants

v.

MAHER TERMINALS, LLC, GCT NEW YORK LP, AND GCT
BAYONNE LP, *Third-Party Respondents*.

DOCKET NO. 23-05

Served: December 15, 2023

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER ON JOINT MOTION TO REVISE THE SCHEDULING ORDER

Complainant Rahal International, Inc. (“Rahal”), Respondents Hapag-Lloyd AG, (“HLAG”), Hapag-Lloyd (America), LLC (“HLA”) (collectively, “Hapag” or “Third-Party Complainants”), Third-Party Respondent Maher Terminals, LLC (“Maher”), and Third-Party Respondents GCT New York LP and GCT Bayonne LP (“collectively, GCT”) filed a Joint Status Report and Joint Motion to Revise the Scheduling Order (“Motion to Revise”), on December 13, 2023. In the Motion to Revise, the parties state “that good cause is shown to adjust the operative deadlines set forth in the Scheduling Order...because Hapag’s Third-Party Complaint necessitates additional discovery and the involvement of all parties in such discovery is contemplated.” Motion to Revise at 2. The parties propose changing the dates for discovery, and submit two different proposals for revised briefing schedules, one proposed by Rahal, the other proposed by the remaining parties.

In the December 6, 2023, Order on Third-Party Respondents’ Motion to Dismiss (“Order on MTD”), the undersigned stated that “[w]hile no motion is currently pending, if one is filed seeking to delay this proceeding, good cause must be set forth explicitly explaining why the

current schedule cannot be met.” Order on MTD at 7. Despite this requirement, the only reason proffered as good cause is that due to the addition of the three Third-Party Respondents, “additional discovery is necessary” and “the involvement of all parties in such discovery is contemplated.” Motion to Revise at 2. The parties contend that it will be less efficient to follow the Scheduling Order because there is “the potential for multiple and duplicative depositions of witnesses.” *Id.* These statements are not explicit in providing details of what “additional discovery” or how many witnesses are at issue, and they do not explain why the current schedule cannot be met. The proposed amended schedule addresses discovery by the Third-Party Complainant and Third-Party Respondents as a new and separate discovery proceeding, which is contrary to Hapag’s argument that the third-party complaint arises from a common nucleus of operative facts with Rahal’s complaint against Hapag. The Motion to Revise also does not address the status of discovery in relation to Maher, which filed its answer over two months ago. Further, the motion fails to acknowledge that the Initial Decision in this proceeding is set to issue by July 1, 2024, and the proposed amendments to the discovery schedule and briefing go well beyond that date. *See*, Notice of Filing of Complaint and Assignment at 2.

The parties now seek to extend the close of discovery from December 29, 2023, to April 19, 2024, and the close of briefing from March 18, 2024, to either July 15, 2024 or August 12, 2024, but they do not establish good cause for such lengthy extensions of these dates. Accordingly, good cause having not been found, the parties Motion to Revise is **DENIED**, without prejudice.

Regarding the two separate proposals for a briefing schedule, Rahal’s proposal is the more reasonable of the two, although the dates proposed are not reasonable. The rationale set forth by Hapag, Maher, and GCT for what amounts to two separate briefing schedules—similar to their discovery proposal—is contrary to the argument for adding third-party respondents to a proceeding rather than pursuing a separate complaint proceeding against them: the existence of a common nucleus of operative facts, and judicial efficiency. Allowing such a briefing schedule as that proposed by Hapag, Maher, and GCT would further delay the resolution of this proceeding and is not justified by the facts in this case.

The parties note in the joint status report portion of the Motion to Revise that Rahal and Hapag have agreed to a confidentiality agreement and that the Third-Party Respondents are considering whether they, too, will adopt it. Motion to Revise at 2. The parties are reminded that if they submit motions for confidentiality when they submit their respective briefs and appendices, the motions “must identify each item for which protection is sought and show good cause **by demonstrating that the information is a trade secret or other confidential research, development, or commercial information.** 46 C.F.R. § 502.141(j)(1). The burden is on the party seeking to protect the information to show good cause for its protection.” Initial Order at 5 (emphasis added). In addition, “[p]arties may not mark entire depositions as confidential. Parties should ask questions that may require confidential responses together, typically at the end of the deposition.” *Id.* Finally, the parties are reminded that information that has been publicly disclosed may not subsequently be identified as confidential. The parties are urged to review the Initial Order and follow the detailed instructions regarding the marking and submission of confidential material. *Id.*

If the parties wish to submit a revised motion to amend the schedule that does not extend briefing beyond July 1, 2024, and that otherwise conforms with the findings above, they should do so no later than December 20, 2023.



Linda S. Harris Crovella
Administrative Law Judge